BANGLADESH BANK
Head Office, Motijheel, Dhaka
Banking Regulation and Policy Department (BRPD)

BRPD Circular No. 15 Date: 27 November 2024

Managing Director / Chief Executive Officer
All Scheduled Commercial Banks operating in Bangladesh

Subject: Master Policy on Loan Classification and Provisioning Alignment with IFRS 9

Dear Sir,
Please refer to BRPD Circular No. 14 dated 23 September 2012 and subsequent instructions issued on loan classification and provisioning standards for scheduled commercial banks.

With a view to aligning credit risk assessment and asset quality measurement with International Financial Reporting Standard 9 (IFRS 9: Financial Instruments) and strengthening the risk management framework of the banking sector, the existing loan classification criteria are hereby amended as follows:

1. Mandatory Staging Framework:
All scheduled commercial banks must classify their credit facilities into three distinct stages:
(a) Stage 1 (Performing): Loans with no significant increase in credit risk since initial recognition. General provision of 1.00% must be maintained.
(b) Stage 2 (Underperforming): Loans exhibiting significant increase in credit risk (SICR) or overdue past 30 days up to 89 days. General provision of 5.00% must be maintained.
(c) Stage 3 (Non-Performing): Overdue for 90 days or more. Sub-standard, Doubtful, and Bad/Loss.

2. Effective Date & Compliance Timeline:
The amended provisions set forth in this Circular shall come into force with effect from 01 January 2025. All banks must submit an initial readiness report to BRPD within 31 December 2024.

Please acknowledge receipt.
Yours faithfully,
(Mohammad Shahriar Siddiqui)
Director, Banking Regulation and Policy Department

BRPD Circular No. 15/2024 - Annexure: Reporting Template

Table 1: Quarterly Loan Classification & Provisioning Summary (Amount in Crore BDT)

Category	Outstanding Balance	Required Provision	Maintained Provision
Stage 1 (Normal)	45000.50	450.00	450.00
Stage 2 (SMA/Watch)	8200.20	410.01	410.01
Stage 3 (NPL - Sub)	1500.00	300.00	300.00
Stage 3 (NPL - Doubtful)	950.00	475.00	475.00
Stage 3 (NPL - Bad/Loss)	3200.00	3200.00	3200.00

3. Specific Instructions:

No scheduled bank shall reverse any recognized interest into income on non-performing loans without explicit prior written approval from Bangladesh Bank.

Failure to comply with these provisions will attract penal actions under Section 109(7) of the Bank Company Act, 1991.